

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's July 29, 2022 Order Requiring Production of Discovery (the "July 29 Order"), the undersigned counsel for Complainant MCS Industries, Inc. ("MCS Industries") and Respondent MSC Mediterranean Shipping Company SA ("Mediterranean" and, collectively with MCS Industries, the "Parties") jointly file this status report.

I. Complainant's Report

As of the time of this writing, and after inquiry via email, Complainant has received no indication from Respondent that Respondent intends to comply with the Presiding Officer's July 29 Order and produce the discovery encompassed by the Presiding Officer's December 8, 2021 Order Granting Motion to Compel (the "December 8 Order") and the Presiding Officer's recent letter of request to the Tribunal de première instance for the Swiss canton of Geneva (the "Letter of Request") under the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "Hague Evidence Convention"). Complainant has received no information about the volume, format, or accessibility of any productions or responses that may be forthcoming from Respondent.

As Complainant noted in the Parties' February 28, 2022 Joint Status Report, despite Complainant's efforts to proceed expeditiously with discovery in this case, Complainant has twice

been placed in a position where the then-applicable case schedule would have forced it to proceed with key depositions before Respondent has complied with its own discovery obligations under the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (the "Rules") and the Presiding Officer's Orders. On two prior occasions Complainant noticed a deposition of Respondent's corporate representative(s), and Respondent unilaterally refused to produce a corporate designee without proposing alternative dates. Although Complainant has repeatedly indicated its intent to take deposition testimony from at least two of Respondent's personnel based in Switzerland (one of whom is the individual who verified Respondent's answers to the complaints in this action), Respondent has not committed to making such personnel available for depositions voluntarily (whether within Switzerland or elsewhere) or indicated whether it will seek to impose requirements such as, for example, a commissioner appointed pursuant to the Hague Evidence Convention in order for such depositions to proceed.

Again, Complainant shares the Presiding Officer's desire to move this case forward promptly but cannot in the process allow itself or its claims to be disadvantaged or prejudiced. Without any of the above information, proposing or agreeing to specific new case scheduling dates would, for a third time in this case, create precisely that same possibility of disadvantage and prejudice to Complainant.

Accordingly, Complainant respectfully requests that the issue of case scheduling be revisited *after* Respondent has either complied with the Presiding Officer's July 29 Order or failed to comply with it on the August 29, 2022 deadline specified therein. If Respondent fails to comply by the August 29 deadline, Complainant expects to file a motion by no later than September 30, 2021 requesting the alternative remedies suggested in the July 29 Order (i.e., adverse inferences or a decision on default against Respondent).

II. Respondent's Report

As the July 29 Order notes, both Complainant and Respondent requested in their July 15 joint status report that additional consultative procedures be undertaken with the Swiss government to address the July 1 ruling of the Geneva Court of First Instance. MSC and its Swiss counsel believe that that ruling, which was unexpected, was issued without a full understanding of the nature of this Commission proceeding as directly analogous to civil commercial proceedings in federal court under binding U.S. Supreme Court precedent. Complainant suggested use of the consultative procedures under 46 U.S.C. § 41108(c)(2) to address the matter, while MSC suggested resubmitting the request. Both sides agreed that further engagement with the Swiss government should be sought to resolve the matter.

Your Honor's July 29 Order directing production without further intergovernmental process was based on the ground that "the Swiss authorities, who are in the best position to determine whether their involvement is needed, have indicated that the requested discovery is outside the scope of the Hague Convention and that their intervention is not necessary." Order, at 1. Later the Order states that "[m]ost critically, the Swiss authorities have reviewed the request and determined that it is outside the scope of the Hague Evidence Convention." *Id.* at 3. MSC's concern, as detailed in the July 15 joint status report, is that the opinion of the Geneva court is based on a misapprehension of the Commission's status, is inconsistent with established precedent under U.S. law, and, in the opinion of MSC's Swiss counsel, is inconsistent with Swiss law and practice. Additionally, the view of a single judge in a court of first instance is not necessarily reflective of the view of the Swiss authorities in general, nor of the views of the Federal Office of Justice in Bern. The Federal Office of Justice acts as the official center of legal expertise for mutual legal assistance matters in Switzerland. Consequently, the decision of a first instance judge

in Geneva does not establish that the consultation procedures of 46 U.S.C. § 41108(c)(2), which Complainant has asserted are mandatory, would be fruitless.

MSC and its Swiss counsel also respectfully submit that the July 29 Order misperceives the effect of the Geneva court's order on the application of the criminal provisions of Article 271 of the Swiss Criminal Code were MSC to proceed to provide discovery under the compulsion of the order without compliance with the proper Swiss procedures. First, it is not only the criminal nature of the sanctions attached to a failure to comply with a production order that is decisive in determining the admissibility of voluntary production. The handing over of information and documents from Switzerland, which according to domestic law could only be disclosed by order of a Swiss authority, violates Art. 271 of the Swiss Criminal Code. Proceeding without use of the Hague Procedures, which MSC's Swiss counsel continue to believe are applicable, and has taken steps with the central authority to confirm that applicability, would expose MSC to a significant risk.

The Order also suggests, quoting a statement of MSC's Swiss counsel, that the risk of an Article 271 prosecution is limited only to "evidence that falls within the scope of international judiciary assistance," and that there would be no such risk as to matters that fall outside that scope. Order at 3 (emphasis in original). It does not follow that because Article 271 applies to matters within the Hague procedures it does not apply to matters outside them, and Swiss law is to the contrary. Even if it were not, however, MSC would have no assurance that the Court of First Instance's holding would be followed in a criminal proceeding as the official position of the Swiss authorities, particularly as it appears to be based on an erroneous understanding of the nature of this proceeding.

The recent rulings place MSC in an impossible position. MSC faces potential sanctions under the Commission's rules for failure to comply with Your Honor's July 29 Order, but faces potential criminal exposure under Swiss law if it collects or produces evidence under direction of another sovereign governmental authority without authorization. This situation can be addressed if, as both parties proposed in the July 15 report, efforts are undertaken to allow consultative procedures to be used. MSC's Swiss counsel has contacted the Federal Office of Justice in Bern to obtain confirmation that the July 1 order is in error and that the Hague Procedures are in fact available and must be used. We will revert to Your Honor immediately upon receiving that advice, with a proposal for moving forward that we believe will allow MSC to comply with Swiss law and obviate the need for motion practice of the type MCS suggests in its submission.

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Respectfully submitted,

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